Government introduces a minimum 30% tax on discretionary trust income

A tax fairness case study: income from assets versus income from work, and how behaviour change can undercut forecast revenue.

WHAT HAPPENED

This week the government introduced legislation for a minimum 30% tax rate on income distributed through discretionary trusts, a measure first announced in the May budget.

Trusts are used for asset protection, passing control to later generations and minimising tax, because a trustee can split income among beneficiaries on the lowest tax rates. The Treasurer says over 95% of taxpayers get no trust income and most of it goes to the top 10% of households.

Treasury analysis found families using discretionary trusts pay an average tax rate about four percentage points lower than similar families without them. In the government's example, $200,000 split through a trust is taxed at $24,008 (12%), compared with $59,602 without a trust.

The authors warn trustees can restructure into companies (taxed at a likely 25%) or fix beneficiaries' interests. That could reduce the forecast revenue of over $4 billion from 2029-30 and leave smaller trusts paying more than wage earners on the same income.

BY THE NUMBERS

30%
Proposed minimum tax rate on discretionary trust income
bill introduced Oct 2026

over $4 billion
(from 2029-30)
Forecast extra revenue
government forecast, 2026

about 4 points lower
Average tax rate gap for families using trusts
Treasury analysis, 2026

$24,008
(12%)
Government example: $200,000 income via a family trust
2026 (without a trust: $59,602)

KEY TERMS

Discretionary trust: A trust in which the trustee decides how income is split among beneficiaries each year.

Tax-free threshold: The amount of income a person can earn before paying income tax ($18,200).

Tax minimisation: Using the rules legally to reduce the tax paid, such as splitting income across low-tax beneficiaries.

Horizontal equity: The principle that people in similar circumstances should pay similar amounts of tax.

EXAM ANGLE

Tax fairness and efficiency: the reform lines up the tax on asset income with the tax on work income, but trustees have options (a company at about 25%, or fixed interests) that may cut the revenue. Good for the features of a good tax and the budget's effect on income distribution.

SYLLABUS LINK

TOPIC 4: fiscal policy (effects of the budget on income distribution). It links to TOPIC 3: taxation and the distribution of income and wealth.

TRY THIS

Explain how a minimum tax on trust income could affect the distribution of income. (4 MARKS)

Outline one way taxpayers may respond to the new rules and the effect on government revenue. (3 MARKS)

Source: Robert Whait and Connie Vitale, The Conversation, 16 October 2026. Summary written in our own words for classroom use; read the original for the full argument. https://theconversation.com/the-government-wants-trusts-to-pay-a-minimum-30-tax-whats-behind-the-changes-294459